

META PLATFORMS INC META

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by

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			2026	2027
Price:	589.85	EPS	31.05	34.89
Shares Out. (in M):	2,566	P/E	19.0	16.9
Market Cap (in \$M):	1,514K	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Before the downvotes and snarky tags come for recommending another mega cap tech stock, I was in the process of writing up a “deep value” small cap stock (NGVC) that a member posted last week. I posted some additional analysis and comments on that company to be helpful to the VIC community.

Unfortunately, I do not have a ton of screaming buys in my portfolio today, but I do think META qualifies as one. META was last written up on VIC over four years ago before the ChatGPT moment seemingly changed everything. Thus, I think a new write-up and discussion on the company is warranted.

Investment Pitch

I believe META is one of the most undervalued large cap companies in the market currently. Today one can invest in a world class business run by a relatively young, but experienced and talented owner/operator management team at a compelling valuation.

META is trading at 20.0x LTM after-tax operating earnings and just 16.6x LTM after-tax core operating earnings (ex. Reality Labs losses). This for a business that grew revenue at 28% in Q2'26. META is down -11% this year and is -25% off its all-time high from less than a year ago.

If you look at mega cap tech, Mr. Market can change its perception on a company being an AI loser to a winner in a very short period. Over the past year we've seen this happen with GOOGL, AAPL and most recently MSFT. Now it's META's turn to be in the penalty box, which presents the opportunity.

I think it's safe to say that almost everyone knows and understands its largely free social media platforms (Instagram, Facebook, WhatsApp) advertising-based business model. Instagram and Facebook have over 2 billion daily active users (DAUs). Across all its platforms it now has 3.6 billion DAUs (+3.5% YoY in Q2'26) equating to over half of the global population ex. China where its platforms are banned. This is the definition of a strong network effect business whereby more DAUs and engagement helps translate into more ad impressions (+14% YoY in Q2'26) and higher price per ad (+12% YoY in Q2'26).

Why the Opportunity Exists

The crux of the bull/bear debate, in my view, is mainly whether META is lighting hundreds of billions on fire investing in AI, which includes its own frontier lab.

If we look at META's track record on capital allocation, it is mixed. Obviously, Instagram was a homerun while the Metaverse has been a disaster. Some other bets like Oculus, which led to glasses have not delivered good results thus far, but I think it's too early to render a verdict on glasses since it could be an important piece of hardware for delivering personal AI agents. And then there is WhatsApp, which could end up being very strategically valuable to SMBs for delivering business AI agents. Put it all together and you've got a company with ROIC of 23% now. Where that goes in the future is TBD.

I think of META's AI investments going after three main areas of opportunity. Below I will provide my views on each, incorporating management comments from the Q2'26 earnings call for more context. I define good ROI as 15%+ after-tax or 20%+ pre-tax.

High Odds of Good ROI on AI Spend: Increasing Ad Conversion Rate (CVR)

In my opinion, META spending on AI to serve up more of the right ads to the right potential customers to increase CVR is the most obvious place to spend with the highest odds of success. Currently, CVR sits at 1%-2%, depending on the category, with a median of 1.57% on a click-through rate (CTR) of just 2.19%. [i] Advertisers on META's platforms are currently getting a return on ad spend (ROAS) of 1.93, meaning for every \$1 spent on the ad, \$1.93 of revenue is generated. Increasing CTR and/or CVR would increase ROAS thereby naturally increasing META's ad rates over time. Starting from low-single digits in CVR and CTR means there is plenty of upside to be had over time.

Said another way, there is a ton of advertising “waste”. It is estimated to be ~\$300B from poor targeting plus another ~\$850B from other sources such as supply chain fees, low attention formats as well as fraud and misalignment.[ii] If AI can help META turn more of its advertiser's wasted spend into productive spend, that should naturally grow its revenue.

Here are some relevant management comments from the Q2'26 earnings call:

- For accelerating our core business, we are seeing strong and promising results in several areas. In Instagram and Facebook, I'm very optimistic about our work to integrate large language models into our recommendation systems. LLMs add a first principles understanding of what the content is about and why it is compelling as well as a deeper understanding of what people are interested in and what their goals are when they're using our apps. This means that we can show more relevant and engaging content that better reflects people's goals and interests.
- Our new Muse Image and Muse Video models will also dramatically expand the universe of content that people can discover across our platforms. There are already 2 large sets of content to draw from, first, from your friends and the people you follow and second, from creators that you don't follow. But now there's going to be a

whole new and nearly infinite universe of personalized content. This is going to make our services a lot more useful and engaging for people.

- For ads, we are using LLMs to improve how our systems predict and rank the ads that we show. We've expanded the context...to determine an ads relevance, driving significant increases in relevance and conversions on both Facebook and Instagram.
- And on a dollar basis, our ads business is reporting faster year-over-year revenue growth than any other company's reported ad business. So, these AI investments are paying off.
- Within our ad systems, we're delivering performance gains as we deploy more complex and predictive models. This quarter, we introduced Meta Generative Recommender, a paradigm shift in how our ad system works. Rather than scoring every possible ad individually, we are now using LLMs to reason about ad content and user preferences together and predict the best ad for each person. This makes our ad matching more intelligent and more precise, which compounds performance gains for advertisers. We deployed the first generative model into our ads retrieval system and saw notable improvements in ads performance.
- Early pilots using LLMs to better understand user preferences drove a 1% increase in app event conversions on Instagram. In Q2, we also advanced our user understanding models to analyze ads and organic activity and simultaneously improve both user experience and advertiser performance. Combined with our GEM model for ads ranking and sequence learning, these advancements generated an 8.3% increase in ad clicks and a 15.7% uplift in conversions on Facebook. We're also leveraging AI to empower businesses to more easily manage their campaigns, develop ad creative and engage with their customers.
- We'll continue to make recommendations even more personalized and relevant to user interest. And that's in part by advancing our recommendation models and architectures to further capture user interest more precisely and respond faster to what people care about in each moment. Our AI investments are going to play a significant role in delivering on this vision, including the expansion of LLM-based content understanding to develop a deeper understanding of posts and creators that people value to capture user interest more precisely and respond more quickly to what they care about in the moment and using AI to surface high-quality, fresh and trending content and reduce the share of low-quality content.
- We're continuing to improve our data infrastructure to allow our models to train on more data and leverage that data more effectively. We're adding more detail to how we describe content that users have engaged with in the past and enriching past user interaction sequences with more granular content. That allows our models to more precisely learn which engagements are valuable to users. We're continuing to scale up both the length of user interaction sequences we use during training as well as the complexity of our model architectures across Facebook and Instagram to take advantage of the larger data sets. And then we've already made significant strides leveraging LLMs for content understanding.
- We're going to further incorporate them into both our recommendations and content policy enforcement stacks given their capability to more deeply understand content.

Medium Odds of Good ROI on AI Spend: Developing Business AI Agents for SMBs

I am sympathetic to the logic that META is in a good strategic position to offer effective business AI agents to the small and medium businesses that advertise across its social media platforms.

META not only knows a lot about what the SMBs it serves need and want, but it has amazing (historical and real time) data on and distribution to over half of the global ex. China population.

One of the best use cases it could execute on for SMBs is AI based customer service through its WhatsApp communication platform.

Here are some relevant management comments from the Q2'26 earnings call:

- We see a large enterprise opportunity to sell to businesses, including APIs, business agents, potentially selling compute directly and other services that we're building for large customers.
- We are also seeing a lot of demand for our new AI-powered creative tools. Nine million small businesses on our platforms are now using at least one of our AI ad creative tools, and we're rolling out new end-to-end creative solutions that help advertisers translate performance data into their creative decisions. Muse Image is going to supercharge this. The model can analyze images, improve its own work and produce better ad variations based on advertiser input.
- As we move towards a future where we're all interacting with multiple agents, I think that WhatsApp and our other messaging surfaces are going to become increasingly important. WhatsApp is already the leading surface where people engage with Meta AI. And as we build out a platform for more agents across our messaging apps, we're going to innovate on how to deliver a private and secure AI experience.
- I'm also very excited about our progress with business agents. We made Meta business agents available globally this quarter on WhatsApp and Messenger, and there are already more than 1 million businesses using them to talk to their customers or complete sales every week.
- We're rolling business agents out on Instagram now too. One interesting thing about having an agent talk to your customers every day is that it learns over time and can bring all those insights back to you. So, we're building more agentic capabilities to summarize all these conversations, digest what happened overnight and surface what customers are asking for. And soon, it will go further, including suggesting ways to grow your business, giving you competitive intelligence and real-time insights into what's working and what's not. And over time, we'd like to build this into a business-in-a-box service that can help you start and run a whole business using Meta's platforms.
- In terms of how we will monetize these, we have a mix of subscriptions, volume-based pricing, and I expect that we're going to continue to evolve more of these products to be like our ad systems where businesses only pay us when we achieve results for them. Over time, that will let us run an efficient auction over our compute, like how we do that for advertisers today.
- Our AI-powered Advantage+ end-to-end solutions continue to grow, reaching over \$75 billion in annual revenue run rate this quarter. We're working to deepen adoption as advertisers who leverage multiple tools see compounding performance gains. I'll share one example of how Advantage+ is making performance marketing meaningfully easier and more effective for SMBs. An online apparel brand in India had been setting up each campaign manually across Facebook and Instagram. After adopting Advantage+ sales campaigns layered with Advantage+ audience placements and budget optimization, they saw a 13% incremental lift in purchases and a 16% increase in add-to-cart conversions.
- Looking ahead with the rollout of Muse Image, we expect to further expand advertisers' ability to generate high-quality on-brand creatives at scale.
- With Meta Business Agent, businesses are better able to serve their customers through our messaging apps by responding to inquiries, recommending products and handling support around the clock. Earlier this month, we also introduced the Meta Business Agent platform, which gives enterprises the infrastructure to build, customize and deploy their business agent at scale on WhatsApp. The platform provides larger businesses with enterprise-grade controls, guardrails and measurement built in so they can define rules and offer personalized experiences, starting within the messaging apps that their customers already use.
- Movida, one of Brazil's largest rental car companies with nearly 400 locations, deployed a business agent on WhatsApp to handle the entire booking flow from vehicle

selection and pricing to payment in a single conversation. Returning customers could complete a reservation in as few as 3 messages. In a 1-month period, Movida reported a 44% increase in daily bookings through WhatsApp when compared to the same period in the prior year and that 85% of conversations in the channel were resolved entirely by the AI agent without human assistance.

Low Odds of Good ROI on AI Spend: Developing Personal AI Agents

In my view, this is the biggest risk to META's AI spend. We don't know how much Zuckerberg is allocating to this, but given he mentioned this before business AI agents in his prepared comments leads me to believe it is not immaterial and possibly views this as the holy grail. If this becomes the "new Reality Labs" then I could easily see \$100B+ burned on this effort.

This is a very crowded field because the supposed TAM is not only big, but it is so strategically valuable to "owning the consumer". As a result, you've got AAPL, GOOGL, META, OpenAI, Anthropic and others going after this opportunity. It's why GOOGL has its own AI-powered smart glasses with WRBY acting as a distribution partner and why OpenAI bought former AAPL executive, Jony Ive's AI hardware startup, io Products, in an all-stock deal for \$6.5 billion.

In my opinion, I believe the winner in this space will be not who comes up with the best personal AI agent, but who comes up with the most trusted personal AI agent. And by trusted, I mean data privacy coupled with not going rogue and/or being hacked. The company that is in pole position to win this is AAPL. It has staked and cemented its reputation on privacy, safety and security, which is one reason why it has probably been moving so slowly within personal AI. If it were to mess this up it could ruin its reputation.

I think the only way META has a legit chance to win here is distributing a personal AI agent through WhatsApp. Unlike Instagram and Facebook, WhatsApp is a trusted platform due to its end-to-end encryption. It ensures only you and your recipient can read your messages— not WhatsApp, governments or network snoops. Messages are transformed into unreadable code during transit and decrypted only on the recipient's device.[iii]

A homerun scenario for META would be to execute on business AI agents and personal AI agents with the communication rails for both running on WhatsApp. One could imagine how valuable this would be—your trusted personal AI agent making purchases of goods and services on your behalf through WhatsApp that connects to millions of SMBs that can properly execute customer service through the same platform. I put this at very low odds, but it's worth highlighting what Zuck might dream of having.

Here are some relevant management comments from the Q2'26 earnings call:

- We are developing new personal agents that will be the foundation for our next wave of products and revenue lines in the months and years ahead.
- We launched incognito mode this quarter on WhatsApp and the Meta AI app, allowing people to have private conversations with their assistant that even Meta can't see. We are planning to make strong privacy and security a fundamental part of the agents that we're building as well.
- I think that it's extremely unlikely if you look out five years from now, for example, that whatever period of time you want that you don't have billions of people with a personal agent that understands your goals and it is just working on your behalf 24/7 to achieve your goals. And whatever the domain is that you care about whether it's helping you with your health or your hobbies or your personal finances or your productivity and running your home better or improving and enhancing your relationships, helping with your career.
- I think that building for consumers is a little bit different than building for developers. If you're building for consumers, especially if you're trying to build something that isn't used by millions of people, but is used by billions of people, it needs to just work, right? It needs to be simple.
- And I think a lot of what we see with these agents today, a lot of the kind of proto-agents is it takes a bunch of fiddling, you have to get into a terminal to get it set up, you get a use case going. It kind of seems magical, but then maybe it breaks down over time. And I think that the companies that can deliver the personal agents that just work, I think that this is going to be one of the next major opportunities in AI.
- As we get closer to personal superintelligence, we are also going to need hardware that allows you to seamlessly interact with it. Glasses are the ideal form factor since they can be with you throughout the day, and they can assist you without pulling you away from the moment.
- Our glasses remain one of the fastest-growing consumer electronics of all time, and we continue adding to the lineup. We just released our own line of Meta Glasses in collaboration with EssilorLuxottica, including a style that we designed with Kylie Jenner. They're the first glasses to ship with Muse Spark out of the box so that they can understand what you're seeing and give even more helpful answers. Early sales have been strong, exceeding our expectations.

Other Noteworthy Management Comments Behind its AI Investments

- Our investments in AI are...helping our teams build new experiences and ship faster.
- We are really a full-stack technology company. We built our own data centers, our own infrastructure, our own chips, our own low-level software.
- And I think we just can build things that can be more personalized, more optimized, more efficient. Some qualitative experiences are just not even possible for others to build because we go all the way down the stack. And it just seems to me clear that having kind of sovereignty over building your own models is going to be an important part of that stack going forward.
- And if you're trying to build personal super intelligence for people or trying to build a business agent for small businesses, that needs to have potentially some different skills than what the other labs are tuning. And just like being able to do the full-stack work on Instagram recommendations on our ad system is how we've gotten the results there over time. I believe that building the kind of full-stack model is going to be a lot of the advantage over time in how we build personal super intelligence agents, business agents, all these different use cases for all the different customers that we want to serve.

Conclusion

META has less than 25% share of the \$1+ trillion global advertising market.[iv] GOOGL generates nearly 40% more in advertising revenue than META. In my opinion, there is plenty of room for META to continue to take share with the help of successful AI investments increasing engagement of its 3.6 billion DAUs

and in turn improving the value of its platforms to advertisers through increasing CVR.

I see its core advertising business growing revenue and operating earnings at a double-digit rate for several years to come. Assuming no multiple expansion or contraction and no free cash flow generation due to full reinvestment back into the business coupled with minimal dividends, I approximate total shareholder return to be in-line with core operating earnings growth, which I believe can amount to 50%+ over the next 2-3 years.

Because of the low valuation on a great, fast growing core advertising business, I think we are getting “free” call options on business and personal AI agents.

Risks (besides potentially wasting hundreds of billions on AI spending)

- Other social media platforms such as SNAP, TikTok, etc. take share from Instagram and/or Facebook and erode its network effect.
 - Continued lawsuits around mental health issues (especially regarding teens and pre-teens) and political attacks.
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[i] <https://www.triplewhale.com/blog/facebook-ads-benchmarks>

[ii] <https://www.get-ryze.ai/blog/cost-bad-ad-management-wasted-spend-impact>

[iii] <https://www.avast.com/c-whatsapp-safe>

[iv] <https://www.marketplace.org/story/2025/12/16/global-advertising-spending-to-top-1-trillion-in-2025>

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Catalyst

- The core advertising business continues to grow at a double digit pace for several years helping prove that it is getting a good ROI on its AI spending.
- Business and/or personal AI agents gain traction.
- It sub-leases some excess compute at a big premium to what it paid to signal to the market it is disciplined when it comes to getting a good ROI on AI spending.
- It wins or settles some of the lawsuits for much less than the \$2.4 billion charges it took in Q2'26 regarding these legal proceedings.

Messages

No messages